The role of customer experience in the perceived value–word-of-mouth relationship

Volker G. Kuppelwieser
Marketing Department, NEOMA Business School, Mont-Saint-Aignan, France
Philipp Klaus
Department of Marketing, International University of Monaco, INSEEC U. Research Center, Monaco, Europe
Aikaterini Manthiou
Marketing Department, NEOMA Business School, Mont-Saint-Aignan, France, and
Linda D. Hollebeek
Montpellier Business School – University of Montpellier, Montpellier Research in Management, Montpellier, France and Tallinn University of Technology, Tallinn, Estonia

Abstract

Purpose – The customer experience (CX), as revealed in the literature-based debate, has been variously viewed as either a driver or an outcome of customer-perceived value (CPV). However, the association of CPV, CX and word-of-mouth (WoM) behavior remains nebulous to date, thereby generating an important research gap. In response and to bridge this gap, this study aims to explore CX's role in the CPV–WoM behavior relationship, the role of WoM behavior arising from CX and whether CX acts as a core mediator (vs a moderator) in the association of CPV and subsequent consumer-behavior outcomes.

Design/methodology/approach – By conducting two studies spanning a broad range of services, this paper explores the relationship between CPV, CX, and WoM behavior through structural equation modeling.

Findings – The findings are that CX plays a crucial role in the CPV–WoM relationship, thereby confirming the existence of a direct link between CPV (social/hedonic/utilitarian value), CX and WoM. The results also highlight CX's mediating role in the relationship between social and utilitarian (but not hedonic) values. Moreover, the results reveal that the EXQ scale, measuring CX, comprises distinct experiences perceived by high and low CX-based customer segments, respectively.

Practical implications – CPV (utilitarian, hedonic, social) not only affects consumers' behavioral intentions but also, more importantly, their WoM behavior. Therefore, managers need to consider all three values. Moreover, managers should shift their focus from social value perceptions to CX. The results suggest that managers need to devote additional resources to the development of a suitable CX, which will help mitigate consumers' online and/or offline brand-related WoM. This study indicates the context in which managers must emphasize the construct that produces positive outcomes.

Originality/value – By identifying a direct relationship between CPV, CX and the ensuing consumer-behavior outcomes, the study offers important theoretical insight into CX's nomological network.

Keywords Consumer-perceived value (CPV), Customer experience (CX), Word-of-mouth (WoM) behavior, Mediator, Moderator, Utilitarian/hedonic/social value, Structural equation modeling

Paper type Research paper

1. Introduction

Understanding the nature and dynamics of customer-perceived value (CPV) has long been regarded as a crucial component of designing and executing successful marketing strategies (Ulaga and Eggert, 2006). Consequently, the exploration of CPV and its marketing outcomes has been identified as a theoretical and practical priority (Kumar and Reinartz, 2016; Figueiredo and Scaraboto, 2016). Various scholars have emphasized CPV's importance for service marketing research (Kelleher *et al.*, 2019; Vargo and Lusch, 2017; Zeithaml *et al.*, 2020). In this respect, Grönroos and Voima (2013) maintain that CPV, which is widely defined as a trade-off between benefits (i.e. *get*) and sacrifices (i.e. *give*; Zeithaml, 1988), is crucial for "establishing the service perspective on marketing."

Although CPV has been variously conceptualized as a unidimensional or a multidimensional construct (Gallarza *et al.*, 2017), most studies adopt a unidimensional view of the concept (Chiu *et al.*, 2014). Therefore, this approach treats all value-related aspects, including utilitarian, hedonic and social value, as reflecting a single value conceptualization (Kim *et al.*, 2007; Hollebeek, 2013). Accordingly, Zeithaml *et al.* (2020) review CPV's conceptualization, operationalization and

The current issue and full text archive of this journal is available on Emerald Insight at: **https://www.emerald.com/insight/0887-6045.htm**



Journal of Services Marketing
36/3 (2022) 364–378
© Emerald Publishing Limited [ISSN 0887-6045]
[DOI 10.1108/JSM-11-2020-0447]

Received 9 November 2020
Revised 15 March 2021
20 April 2021
Accepted 28 April 2021

measurement based on positivist, interpretive and social constructionist views.

Previous research mainly focused on estimating CPV's nomological network-based associations, including customer satisfaction (Ryu *et al.*, 2012), behavioral intentions and loyalty (Floh *et al.*, 2014). However, only a few studies have linked CPV to specific consumer-behavior outcomes, including purchase or word-of-mouth (WoM) (Chang and Wang, 2011). Among others, researchers emphasized WoM as a key CPV outcome (Babić Rosario *et al.*, 2016) because, in addition to exposing a consumer's focal WoM-disseminating behavior, CPV also influences other behavioral outcomes (Cheung and Thadani, 2012), all of, which, in turn, affect firm performance (Ye *et al.*, 2011). Likewise, Leroi-Werelds (2019) highlights that CPV, "besides its crucial role in decision-making, plays a key role in the post-purchase phase, as customers evaluate the value of the product or service, which determines their satisfaction, repurchase intentions and WoM." The author implies that a service encounter's ultimate outcome should be to create value-in-context, which is conducive to the development of a favorable customer experience (CX).

However, CPV's link to CX remains tenuous (Komulainen *et al.*, 2018; Andrews *et al.*, 2012). Given the experiential, contextual, idiosyncratic and meaning-laden nature of value (Lusch and Vargo, 2014; Vargo and Lusch, 2008), it comes as no surprise that some scholars assume that CX affects the link between CPV and consumer behavior (Lin *et al.*, 2014; De Keyser *et al.*, 2020). Helkkula (2011) notes that CX is strongly linked to hedonic consumption, powerful emotions and enjoyment-derived value. Certain authors, including (Patrício *et al.*, 2011; Candi *et al.*, 2013), conceptualize CX more broadly to include multiple value perceptions that encapsulate emotionally engaging sensations (hedonic benefits), functional utility (utilitarian benefits) and social benefits (Chitturi *et al.*, 2008). However, studies investigating CX's nature and dynamics, through which it influences CPV and subsequent consumer behavior (e.g. WoM), remain few and far between (Klaus, 2014; Varshneya and Das, 2017).

Based on these gaps, we explore the relationship between CPV, CX and consumers' behavioral intent/behavior. This research endeavor leads to the following study objectives:

- To explore the direct effect of value on WoM and the effect of values on CX and WoM.
- To investigate the proposed mediating role of CX in the value–WoM relationship.
- To determine the moderating role of CX in the value–WoM relationship.

Our contributions are threefold. First, we analyze how different CPV dimensions (i.e. utilitarian, hedonic and social) affect consumers' WoM behavior, defined as consumers' dissemination of positive or negative product/service experiences (Anderson, 1998). Although several authors have assessed the CPV–WoM relationship (Kumar *et al.*, 2007; Gruen *et al.*, 2006), their inconsistent results generate the need to further test and validate the nature of this theoretical association. Throughout this study, we, therefore, aim to substantiate and solidify insights into this association by addressing prior, inconclusive results.

Second and relatedly, we explore CPV's effect on CX and its subsequent impact on WoM behavior (Klaus, 2014). That is, in addition to the proposed direct relationship between CPV and WoM behavior, we explore the potential mediating effect of CX in this association. The addition of CX as a mediator is based on the following rationale. Although CPV may reflect a customer's perceived value regarding a particular brand or firm interaction, the individual's broader product/service experience throughout the purchase journey (i.e. CX; Lemon and Verhoef, 2016) may fully align with CPV generated by focal interactions. Consequently, it is of interest to explore the extent to which CPV affects CX (Nasution and Mavondo, 2008), as done in this study. In turn, as we expect CX to affect customers' WoM behavior (Cetin and Dincer, 2014; Zhang *et al.*, 2014), we also test this relationship in our study.

Third, in addition to the aforesaid mediating role of CX, we explore CX's potential moderating role in the association of CPV and WoM behavior. That is, whereas the aforesaid mediating effect intuitively makes sense, it could be argued that a customer's experience *level* acts as an important determinant of the strength of the association between CPV and WoM behavior, as expressed in a moderating relationship (De Keyser *et al.*, 2015). In this respect, an elevated (weak) CX would strengthen (lower) the CPV–WoM behavior nexus, which also makes sense. Overall, our main contribution stems from empirically testing and validating the CPV–CX–WoM behavior-based nomological network by unraveling the nature of the relationship between the respective constructs, thereby adding more conclusive evidence results to the way in which these concepts are addressed.

The paper is structured as follows: Section 2 provides a review of the most important literature, followed, in Section 3, by the conceptual development undertaken in this study. Section 4 outlines our research design, followed by the presentation of the study's main results in Section 5. Section 6 concludes the paper with an overview of important implications that arise from the research.

2. Theoretical foundations

In this section, we review important CPV literature and discuss the association of CPV with CX and WoM. First, we follow Holbrook's (1994) and Rintamäki *et al.*'s (2006) multidimensional view of CPV based on the utilitarian (Babin *et al.*, 1994), hedonic (Berlyne, 1970) and social value dimensions (Sweeney and Soutar, 2001; Sheth, 1981; Westbrook and Black, 1985). For the purposes of this research, we use Sweeney and Soutar's (2001) PERVAL model as a theoretical foundation to develop utilitarian, hedonic and social values. *Utilitarian value* refers to "the utility derived from the (product's) perceived quality and expected performance" (Sweeney and Soutar, 2001). This value is mainly functional, task-related and rational by nature (e.g. fair pricing, convenience; Babin *et al.*, 1994). *Hedonic value* is "the utility derived from the feelings or affective states that a product generates" (Sweeney and Soutar, 2001). This emotional value is exemplified by consumer pleasure, fun and entertainment (Berlyne, 1970; Holbrook and Hirschman, 1982). *Social value* refers to "the utility derived from the product's ability to enhance social self-concept" (Sweeney and Soutar, 2001). It

includes the value derived from the product's social status and social self-esteem (Rintamäki *et al.*, 2006; Vigneron and Johnson, 1999).

Second, most definitions highlight CPV's *customer-perceived* nature, which is based on a customer's personal, subjective evaluations of an offering, thus revealing CX's key link to CPV (Berry *et al.*, 2002). Furthermore, although they recognize this close link, firms often struggle to deal with CX-related complexity and management (De Keyser *et al.*, 2015). Similarly, empirical insight into the CPV–CX interface remains tenuous, particularly in respect of the two elements' ensuing behavioral outcomes (Klaus, 2014; Lemon and Verhoef, 2016) explored by this paper. Existing research proffers various views of the CPV–CX interface (Klaus, 2014). Patrício *et al.* (2011) and, for example, assess the CPV–CX relationship from a customer-journey perspective (cf. Helkkula and Kelleher, 2010), Wan *et al.* (2017). However, despite this insight, a dearth of research explores the dynamics through which CX influences the link between CPV and focal consumer-behavior outcomes. Based on this gap, we investigate CX's effect on the relationship between CPV and consumers' ensuing behavioral outcomes (Keiningham *et al.*, 2020) as measured by WoM behavior (Brown *et al.*, 2005).

Third, given CX's context-specific nature (Lemke *et al.*, 2011), it is important to explore the CPV–CX–WoM relationship in different settings. We, therefore, advocate assessing all three clusters of Silvestro *et al.*'s (1992) service classification scheme to identify potentially differing cross-contextual dynamics (Klaus and Maklan, 2013). For our empirical research, we specifically chose a high-end professional service, a mass (grocery) service and a utilitarian service (retail banking). Given CX's inclination to differ contextually (Lemke *et al.*, 2011), it can either mediate *or* moderate the CPV–WoM link, depending on the specific CPV dimension (i.e. social, hedonic or utilitarian; see (Jamshidi *et al.*, 2017; Walls, 2013). Our key literature-based findings are summarized in Table 1.

Fourth, having previously introduced the notions of utilitarian, hedonic and social value, we subsequently delve further into their respective links with CX and ensuing consumer behaviors. *Utilitarian* and *hedonic values* have been found to be closely linked to online and offline CX (Lin and Kuo, 2016). For example, Wan *et al.* (2017) investigated utilitarian value's effect on CX in an online, personalized service setting (Viswanathan *et al.*, 2017), while Tynan *et al.* (2014) and Lin and Kuo (2016) confirmed its effect on CX in the more hedonic luxury automobile and tourism contexts, respectively (Table 2).

Although social value's link to CX has received less attention, it is presumed to exert a positive effect on CX (Kang and Lee, 2018). Given the proposed effect of social media on CX (Hollebeek *et al.*, 2014; Klaus, 2013), scholars have mainly explored the social value–CX relationship in online settings (Srivastava and Kaul, 2014). Kang and Lee (2018), for example, drew on experiments to investigate the impact of social presence/value on e-service-based CX. Moreover, Chen and Lin (2015) and Zhang *et al.* (2014) established how social value perceptions affect virtual CX on social networks and blogs (Table 3). Based on our literature review, we develop a conceptual framework (Figure 1) that outlines our proposed rival approaches to the three-way CPV–CX–WoM interface, as discussed in the next section.

3. Method

We designed two quantitative studies to shed light on CX's role in the CPV–WoM relationship. Study 1 uses a series of exploratory factor analyses (EFAs), focusing on an exploration of the factor structures of our conceptual model's constructs. Study 2 validates the scales in subsequent confirmatory factor analysis (CFA) and applies them in a structural equation model. When altering the model's depicted relationships, we gained insights into CX's role in the CPV–consumer-behavior outcome relationship.

3.1 Study 1 – measurement and scales

We first collected 150 customers' data covering each of Silvestro *et al.*'s (1992) major service types (Dagger *et al.*, 2007). The UK-based market research agency collected the responses of the UK customers from their existing panel. To qualify for survey participation, respondents had to confirm that they have had an experience with the service provider in question during the six weeks prior to receiving the survey. Responses were obtained through an online platform. As previously mentioned, the data set originated from a professional service (n = 57), the respondents' main bank (n = 47) and their main grocery retailer (n = 46). Table 4 provides an overview of the data set's descriptive statistics.

We adapted the scale items from established measures and adjusted them to the particular research context of this study. *Utilitarian value* was gauged by adapting relevant items from the scales of Sweeney and Soutar (2001), Jones *et al.* (2006) and Anderson and Srinivasan (2003). *Hedonic value* was measured by using the scales of Sweeney and Soutar (2001), Soutar and Sweeney (2003) and Jones *et al.* (2006). *Social value* was assessed by using Sweeney and Soutar's (2001) and Rintamäki *et al.*'s (2006) items. We used Brown *et al.*'s (2005) established seven-item scale, which has been widely adopted (Sweeney *et al.*, 2012) and used to measure WoM in CX research (Klaus and Maklan, 2013). The appendix provides an overview of the items used. To measure CX, we followed the guidance offered by e.g. Lemon and Verhoef (2016) and used a multi-dimensional scale encompassing multiple touchpoints. We applied Klaus's (2012, 2013) EXQ scale, validated by subsequent research (Roy, 2018; Deshwal, 2016). Lemon and Verhoef (2016) recommend Klaus's EXQ scale as a more advanced CE measure than, for example, the more "exploratory measures" (p. 69) offered, among others, by Brakus *et al.*'s (2009) brand experience scale. Prior to our study, several researchers have drawn on the EXQ scale and its underlying theoretical considerations (Chang and Chiu, 2016).

Following Klaus and Maklan (2013) and recent works on EXQ (Kuppelwieser and Klaus, 2021), we started with an EFA to extract appropriate items from the relevant scales for our research context. Brand experience, service provider experience and post-purchase experience were each included in a principal axis factor (PAF) analysis with promax rotation (κ = 4). Owing to their low loadings, one brand experience item (0.541) and one service provider experience item (0.619) were excluded from further analysis. The next PAF with promax

Table 1 Prior research: hedonic value/CX relationship

Reference	Sample	Methodological approach	Main results
El-Adly and Eid (2016)	382 mall shoppers	Quantitative approach	CPV at a mall, comprising seven dimensions, namely, hedonic, utilitarian, self-gratification, epistemic, social interaction, transaction and time convenience that impact customers' experience at the mall
Wan *et al.* (2017)	990 participants	In-depth interviews and experimental research	Hedonic value, the self-realization value of a process, knowledge value and sensory value have an impact on the online customization experience
Chiu *et al.* (2014)	782 Yahoo!Kimo customers	Quantitative approach	In online stores, utilitarian value and hedonic value are important for experienced buyers
Walls (2013)	451 Orlando visitors in a hospitality setting	Quantitative approach	The experience derived from the physical environment and human interaction has an influence on the emotive value
Floh *et al.* (2017)	An online experiment with 1,392 participants A series of qualitative interviews and focus groups with customers of a large European telecommunications company	A quantitative study	Value perceptions in a mobile communications setting are generated through the dimensions of the functionality, economic aspects, emotions and social facets of both a service and a product
Tynan *et al.* (2014)	Eight participants	Qualitative approach with in-depth interviews	Experiential/hedonic value derived from the consumption of a luxury car experience
Lin and Kuo (2016)	639 tourists who had visited at least one of the 17 Taiwanese townships within the previous 12 months	Quantitative approach	Experiential/hedonic value intervenes between a tourist's experience and satisfaction
Prebensen and Xie (2017)	395 tourists visiting one of four companies offering winter experiences in northern Norway	Quantitative approach with logistic regression	Adventure tourists' mastering and psychological co-creation are significant for emotional value perception
Holbrook (2006)	Written memoirs were used to obtain insights into customer value's role in the consumption experience	Qualitative approach with a photographic essay	Three Fs (fantasies, feelings, fun) contribute to hedonic customer value
Gentile *et al.* (2007)	2,368 surveys of 12 different products	Quantitative approach	Experience (sensorial, emotional, cognitive, pragmatic, lifestyle, relational) has an impact on consumer value
Keng *et al.* (2013)	270 consumers in Taiwan	Quantitative approach	Brand experience positively influences customer experiential value (aesthetic value and playfulness value)
Helkkula (2011)	30 articles and two books published in the 2005–2007 period	Content analysis	The consumption experience includes hedonic responses and aesthetic criteria
Jamshidi *et al.* (2017)	1,032 bank customers	Quantitative technique	Mobile banking's hedonic features affect the flow experience
Bruwer and Rueger-Muck (2019)	513 visitors to the Barossa Valley Region in Australia	Quantitative technique	Hedonic value is important for the wine tourism consumption experience
Ding and Tseng (2015)	499 questionnaires from 21 stores of four service brands: Burger King, Cold Stone Creamery, McDonald's and Starbucks Coffee	Quantitative technique	There is a direct link between brand experience and hedonic emotions
Prebensen and Rosengren (2016)	Four different service experiences, with a total of 938 members of a nationally representative online panel in Sweden	Experimental design	Hedonic value dimensions are present in the four different service experiences

rotation (κ = 4) included all the items in the combined CX scale. This second step identified two items in the post-purchase dimension with loadings below 0.7, which were also excluded from further analysis. Subsequent analyses yielded one component with an eigenvalue greater than 1, which, according to the Kaiser criterion, suggests a single component solution. As the Kaiser criterion is known to misstate the number of components (Peres-Neto *et al.*, 2005), we ran a parallel analysis (Horn, 1965) and a minimum average partial (MAP) test (Velicer, 1976). Both methods have been proven to

Table 2 Prior research: utilitarian value/CX relationship

Reference	Sample	Methodological approach	Main results
Martin-Ruiz *et al.* (2012)	80 hotels and 2,400 customers	Quantitative approach	Service experience has a positive influence on utilitarian value (service quality, service convenience, service equity and price fairness)
El-Adly and Eid (2016)	382 mall shoppers	Quantitative approach Structural equation modeling	CPV at a mall comprises seven dimensions, namely, hedonic, utilitarian, self-gratification, epistemic, social interaction, transaction and time convenience, which will impact customers' experiences at the mall
Dube and Helkkula (2015)	Seven diary narratives on using a specific app and 23 semi-structured interviews on the use of apps	An empirical two-phase study	A service experience has functional outcomes
Chiu *et al.* (2014)	782 Yahoo!Kimo customers	Quantitative approach	In online stores, utilitarian value and hedonic value are important for experienced buyers
Wan *et al.* (2017)	990 participants	In-depth interviews and experimental research	Functional value has an impact on the online customization experience
Walls (2013)	451 Orlando visitors in a hospitality setting	Quantitative approach	The experience derived from a physical environment and human interaction has an influence on its cognitive value
Tynan *et al.* (2014)	Eight participants	A qualitative approach with in-depth interviews	Functional/utilitarian value derived from the consumption of a luxury car experience
Chen and Lin (2015)	216 B&B lodgers in Taiwan	Quantitative approach	CX has an impact on utilitarian value
Lin and Kuo (2016)	639 tourists who had visited at least one of the 17 Taiwanese townships within the previous 12 months	Quantitative approach	Perceived utilitarian value (money paid and give-get tradeoff impacts tourist experience)
Holbrook (2006)	Written memoirs were used as a path to insights into the customer value's role in the consumption experience	A qualitative approach with a photographic essay	Three Fs (fantasies, feelings and fun) contribute to economic customer value
Gentile *et al.* (2007)	2,368 surveys of 12 different products	Quantitative approach	Experience impacts consumer utilitarian value
Jamshidi *et al.* (2017)	1,032 bank customers	Quantitative technique	Mobile banking's utilitarian features affect the flow experience
Floh *et al.* (2017)	An online experiment with 1,392 participants	A quantitative study A series of qualitative interviews and focus groups with customers of a large European telecommunications company	Value perceptions in the mobile communications setting are generated through the dimensions of the functionality, economic aspects, emotions, and social facets of both the service and the product
Prebensen and Rosengren (2016)	Four different service experiences, with a total of 938 members of a nationally representative online panel in Sweden	Experimental design	Utilitarian value dimensions are present in four different service experiences
Chen and Lin (2015)	452 valid questionnaires	Quantitative approach	CX influences blogs' actual performance

extract, sufficiently well, the number of data components (Jackson, 1993; Peres-Neto *et al.*, 2005; Kuppelwieser and Sarstedt, 2014; Kuppelwieser *et al.*, 2019). Compared to the original 95th percentile eigenvalues (Glorfeld, 1995), the parallel analysis confirmed this one-component solution. In addition, a minimum average squared correlation occurs when one component is partialed out, which implies that the MAP test also suggests a one-component solution. Table 5 shows the CX scale items and their relevant loadings in each step.

With the exception of one item on the hedonic value scale (0.615), the remaining value and WoM scales showed acceptable results, with item loadings above 0.8. Owing to the other items' high loadings, we retained them in our subsequent analyses. The appendix provides an overview of the adopted items and their loadings on the remaining scales.

3.2 Study 2 – identifying the role of customer experience

In Study 2, we collected a new data set of 322 customers who followed the same service dispersion as in Study 1: namely, 95 respondents assessed a recent professional service experience, 105 an experience with their main bank and 122 their recent grocery

Table 3 Prior research: social value/CX relationship

Reference	Sample	Methodological approach	Main results
Prebensen and Xie (2017)	395 tourists visiting one of four companies offering winter experiences in northern Norway	Quantitative approach with logistic regression	Adventure tourists' mastering and psychological co-creation lead to social value
Shamim *et al.* (2016)	711 respondents from four hypermarkets located in five Malaysian states	Quantitative approach	Brand experience has a positive influence on the customer value co-creation attitude (interaction attitude, knowledge sharing, responsive attitude) and the customer value co-creation behavior (participation behavior, citizenship behavior)
Seraj (2012)	11 active members of the community	Netnography Online and offline in-depth interviews	The social value, for example, the platform interactivity through social ties, is an important characteristic of perceived online community value
Holbrook (2006)	Written memoirs were used as a path to insights into customer value's role in the consumption experience	A qualitative approach with a photographic essay	Three Fs (fantasies, feelings, fun) contribute to altruistic customer value
Srivastava and Kaul(2016)	840 department store shoppers	Quantitative approach	Social interaction has a positive and direct effect on CX
El-Adly and Eid (2016)	382 mall shoppers	Quantitative approach Structural equation modeling	CPV at a mall comprises seven dimensions, namely, hedonic, utilitarian, self-gratification, epistemic, social interaction, transaction and time convenience, which will impact customers' experiences at the mall
Floh *et al.* (2017)	An online experiment with 1,392 participants	A quantitative study A series of qualitative interviews and focus groups with customers of a large European telecommunications company	Value perceptions in a mobile communications setting are generated through the dimensions of the functionality, economic aspects, emotions and social facets of both a service and a product
Zhang *et al.* (2014)	563 online questionnaires from Renren (a social networking service) users and 446 from SinaWeibo (a micro-blogging service) users.	Quantitative approach	Perceived interactivity and sociability have an impact on virtual CX
Chen and Lin (2015)	452 valid questionnaires	Quantitative approach	CX influences the degree to which blogs link their users to the other members of the community
Kang and Lee (2018)	Responses to a hypothetical news portal	Experimental study	Social presence has a major influence on customers' affective experience of eservices
Jutbring (2018)	A Web survey with 1,757 responses Five in-depth interviews with festival visitors	Quantitative and qualitative methods	The perceived consumer value is the individual outcome of a social marketing exchange

shopping experience. The UK-based market research agency collected the responses of the UK customers from their existing panel. To qualify for survey participation, the respondents had to confirm an experience with the service provider in question during the past six weeks prior to receiving the survey. Responses were obtained through an online platform. Table 4 provides an overview of the data set's descriptive statistics. In this regard, we applied the same scales as used in Study 1.

Study 2 examined CX's differing effects on consumer-perceived utilitarian, hedonic and social value (Rintamäki *et al.*, 2006), which tend to be interrelated (Hsiao *et al.*, 2016). As a CFA would lead to a non-discriminant solution, we, therefore, separately focused on CX's different effects on each value concept, as a model that combines these value types into a single CPV would limit the insights we need to address the previously identified research gaps[1].

We thus undertook three separate CFAs of, respectively, hedonic, social and utilitarian value. The assessment of these measures' convergent validity ascertained that each of the models had an acceptable fit (Min χ^2/df = 3.781, Min CFI = 0.845, Max RMSEA = 0.096). All the indicators in the three models were significant ($p \leq 0.01$), with only one showing a loading slightly below the threshold of 0.70 (Table 5). Likewise, each construct's average variance extracted (AVE) exceeded 0.50, thereby indicating their convergent validity. In addition, all the construct measures yielded Cronbach's α-values above 0.90 (Min 90% [0.935; 0.977]), thereby indicating adequate internal consistency (reliability). Further analysis showed that each latent variable shared more variance with its own block of indicators than with other latent variables representing a different block of indicators, thereby proving their discriminant validity (Fornell and Larcker, 1981).

Figure 1 Conceptual overview

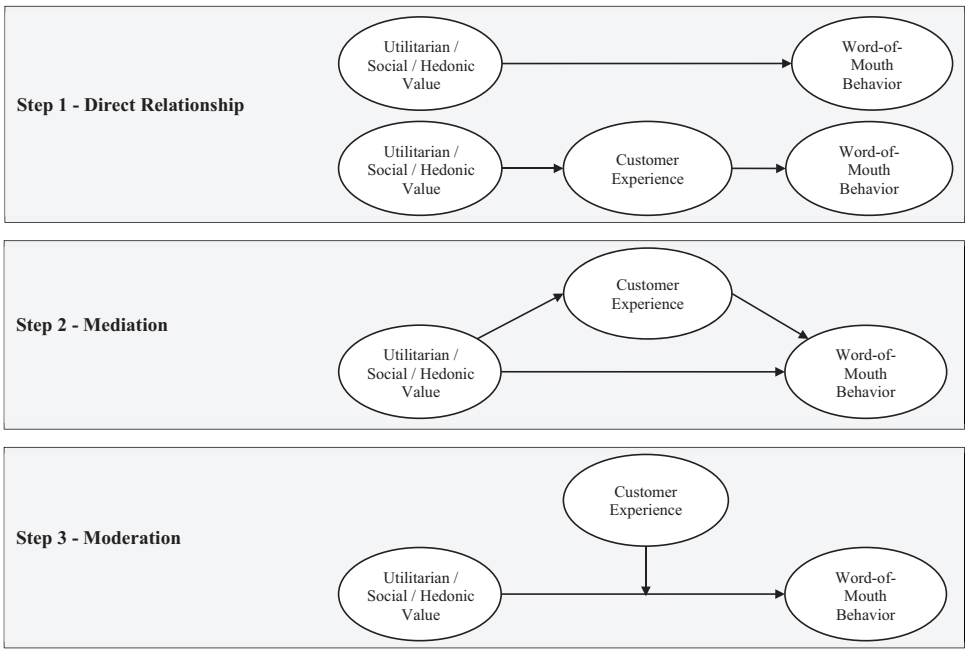


Table 4 Demographic information

Demographics	Study 1[a] Frequency	(%)	Study 2[b] Frequency	(%)
Gender				
Man	90	60	143	44.4
Woman	60	40	179	55.6
Age cluster				
18–24	13	8.7	28	8.7
25–34	24	16.0	76	23.6
35–44	31	20.7	58	18.0
45–54	23	15.3	63	19.6
55–64	44	29.3	56	17.4
65+	15	10.0	41	12.7
Income				
Under £9,499	10	6.7	26	8.1
£9,500–£15,499	27	18.0	32	9.9
£15,500–£24,999	18	12.0	59	18.3
£25,000–£49,999	56	37.3	119	37.0
£50,000–£74,999	17	11.3	37	11.5
£75,000 or over	12	8.0	20	6.2
Do not know	2	1.3	7	2.2
Would rather not say	8	5.3	22	6.8

Notes: [a]$n = 150$; [b]$n = 322$

3.2.1 Step 1 – direct relationship

To identify CX's role in the CPV–WoM relationship, we tested the direct relationship between our three value-based constructs (i.e. utilitarian, hedonic and social) and WoM. Each of the value constructs demonstrated a significant ($p < 0.001$) impact on WoM [0.692; 0.742] (Table 6). We next included CX as a direct relationship in the link between CPV and WoM. Again, our results showed a significant ($p < 0.001$) effect in the link emerging from each of the focal value types to CX [0.635; 0.849] and from CX to WoM [0.642; 0.647].

3.2.2 Step 2 – mediating effects

In this step, we tested for CX's mediating effects on the CPV–WoM relationship. In line with our previous calculations, we

Table 5 Items and loadings

Item	Study 1[a] Initial EFA	Study 1[a] Purified EFA	Study 2[b] Hedonic model	Study 2[b] Utilitarian model	Study 2[b] Social model
Brand experience					
The company has a good reputation	0.699	0.707	0.761	0.762	0.763
I have confidence in the company's expertise	0.847	0.863	0.808	0.810	0.809
The company gives independent advice (on which product/service will best suit my needs)	0.725	0.713	0.728	0.729	0.734
I choose the company, but not just because of the price	0.418	–	–	–	–
The people who work at the company represent the company brand well	0.826	0.832	0.800	0.799	0.797
The company's offerings have the best quality	0.867	0.863	0.817	0.818	0.821
The company's offerings are superior	0.850	0.845	0.821	0.822	0.826
Service provider experience					
The company advised me throughout the process	0.800	0.771	0.741	0.742	0.744
Dealing with company is easy	0.825	0.838	0.790	0.789	0.784
The company keeps me informed	0.860	0.867	0.747	0.746	0.746
The company demonstrates flexibility in dealing with me	0.869	0.876	0.780	0.780	0.784
At the company I always deal with the same forms and/or same people	0.615	–	–	–	–
The company's personnel relate to my wishes and concerns	0.817	0.805	0.831	0.830	0.831
The people I deal with (at company) have good people skills	0.882	0.891	0.843	0.843	0.842
The company provides a good customer service	0.896	0.909	0.832	0.831	0.823
I have built a personal relationship with the people at company	0.747	0.718	0.710	0.708	0.714
The company's facilities are better designed to fulfill my needs than those of their competitors	0.849	0.851	0.771	0.773	0.776
The company's (online and/or offline) facilities are designed to be as efficient as possible (for me)	0.707	0.719	0.626	0.627	0.627
Post-purchase experience					
I stay with the company because they know me	0.679	–	–	–	–
The company knows exactly what I want	0.817	0.792	0.767	0.769	0.770
The company keeps me up-to-date	0.871	0.861	0.712	0.714	0.713
The company will look after me for a long time	0.903	0.894	0.771	0.772	0.769
The company deals(t) well with me when things go (went) wrong	0.732	0.741	0.717	0.718	0.715
I am happy with the company as my category	0.808	0.822	0.728	0.729	0.719
Being a customer at/customer of the company gains me social approval	0.591	–	–	–	–

Notes: [a]$n = 150$; [b]$n = 322$

included CX as a mediator in the three models. Estimating these models revealed that the paths from each of our three value types to WoM remained significant ($p < 0.001$): [0.484; 0.716]. Although the path coefficients from each of our value types to CX were also significant ($p < 0.001$): [0.624; 0.843], the coefficients from CX to WoM differed across the three value types. Social value's path coefficient was impactful and significant (0.333, $p < 0.001$). However, in respect of the utilitarian value, CX had a lower and only marginally significant ($p < 0.1$) effect on WoM (0.169). Conversely, hedonic value resulted in a non-significant and undirected path coefficient (0.029, $p > 0.1$). Consequently, these results indicate that CX partially mediates the social value–WoM relationship ($\Delta = 0.208$, $p < 0.05$) and the utilitarian value–WoM relationship ($\Delta = 0.143$, $p < 0.05$), but that it does not mediate the hedonic value–WoM relationship. Table 6 provides an overview of our main results.

3.2.3 Step 3 – moderating influence

Our final step focused on examining CX's potentially moderating effect on the path from CPV to WoM. This test required partitioning the data set into relevant subsets with high vs low CX regarding particular services. A multi-group assessment of individuals with high CX (vs low CX) facilitated the assessment of measurement invariance. As shown in step 1, the three (unconstrained) CFA models' goodness-of-fit measures were satisfactory (Hair *et al.*, 2010). The scales thus showed the factor structure equivalence between the two groups. The full metric invariance assessment also yielded a satisfactory goodness-of-fit for the sample (Min χ^2/df = 3.762, Min CFI = 0.870, Max RMSEA = 0.093). The final nested model, which tested for χ^2 differences between the two groups, was significant (p = [0.018; 0.036]), thereby demonstrating the metric variance of both the high and low CX models. Nevertheless, our results failed to support CX's moderating influence on the CPV–WoM relationship (Table 6).

To summarize, our results suggest that CX plays a crucial role in the CPV–WoM relationship. Our quantitative examination's first step not only confirmed the direct relationship between CPV and WoM but also showed the direct links in the value–CX–WoM chain of effects (Study 1). Our second step examined CX's mediating role in the CPV–WoM relationship. The analyses revealed CX's mediating role in the social and utilitarian value models but did not confirm a mediating effect in the hedonic value model (Study 2).

Table 6 Results for the three value models

Model	Social value	Hedonic value	Utilitarian value
Value → WOM	0.692***	0.742***	0.693***
CX direct			
Value → CX	0.635***	0.849***	0.846***
CX → WOM	0.642***	0.647***	0.642***
Mediation			
Value → WOM	0.484***	0.716***	0.550***
Value → CX	0.624***	0.843***	0.841***
CX → WOM	0.333***	0.029	0.169*
Moderation			
Value → WOM (low CX)	0.534***	0.631***	0.530***
Value → WOM (high CX)	0.620***	0.571***	0.527***
Δ	0.086	0.060	0.003

Notes: ***$p < 0.001$; *$p < 0.1$

Finally, Study 3 established that CX had no moderating effect on the CPV–WoM relationship. Although the procedure's results could not confirm moderation, they do suggest that high (vs low) CX customer ratings of the relevant CX dimensions do not vary significantly. Table 7 summarizes our main results.

4. Discussion and theoretical and practical implications

In this paper, we set out to address three objectives deemed crucial to advance knowledge of the CPV–consumer-behavior outcomes relationship and of how CX affects this relationship. We subsequently discuss our findings and their key implications for marketing theory and practice in greater depth. First, our finding is that CPV (utilitarian, hedonic and social) not only affects consumers' behavioral intentions but, more importantly, also their WoM behaviors, thereby adding this insight to the literature. More specifically, in line with Lin *et al.* (2005), we provide insight into the ways in which CPV affects consumer behavior, thereby extending it beyond the realm of behavioral intentions. By investigating the relationship between utilitarian, hedonic and social CPV and WoM behavior, we not only contribute to our understanding of the way in which CPV drives behavior but also explore how CX affects these associations.

Second, since this – to the best of our knowledge – is the first empirical study to identify a direct relationship between CPV, CX and consumer behavior, it makes a related theoretical contribution. This contribution allows managers, who until now have tended to rely on CPV's effect on consumers' behavioral intentions, to take a significant stride forward.

Table 7 Summary of the studies' results

Test	Social value	Hedonic value	Utilitarian value
Direct relationships			
Value → WOM	✓	✓	✓
Value → CX → WOM	✓	✓	✓
Mediation	✓	✘	✓
Moderation	✘	✘	✘

Consequently, our finding that CPV exerts an important effect on the ensuing consumer behavior (i.e. WoM) has important practical implications, as managers may want to allocate additional resources to ensure a suitable customer value experience, which could help mitigate consumers' online and/or offline brand-related WoM (Hollebeek *et al.*, 2019). As WoM can be either positive or negative, we advise managers to regard our findings as a key strategic imperative that could enhance their businesses' performance outcomes. Depending on their brands' nature, managers might also want to determine which of utilitarian, hedonic or social value is most important in their particular context, and to draw appropriate strategic conclusions from their analyzes (e.g. by focusing – in line with Study 2's results – more on utilitarian and social value and less on hedonic value).

Third, our finding is that CX has a mediating effect on the CPV–WoM relationship, which indicates that CX reduces this relationship's strength between customers' value perceptions and their WoM behavior. However, our finding is also that this mediating effect only applies to social and utilitarian value perceptions. The CX mediating effect is dominant when consumers perceive a social or a utilitarian value, but more specifically the case when they perceive a social value. We found no mediating effect in respect of hedonic value perceptions. These findings imply that – in terms of social value derived from interactions with others – CX can weaken the relationship between social value and WoM behavior. Emphasizing social value leads to less WoM behavior. Consequently, if the managerial emphasis is on increasing *positive* WoM behavior, managers should shift their focus from social value perceptions to CX. Conversely, reduced *negative* WoM is expected to benefit the firm, which means that specific WoM communications' valence should also be taken into account.

How can managers achieve this? They could, for example, give customers an opportunity to reflect on and recall their brand-related experiences by soliciting customer feedback or raising their awareness of specific CX-based touchpoints (e.g. in-store, online) by offering brand-related incentives, free gifts, etc. The same holds for utilitarian value perceptions, which CX also mediates to a significant extent. To our surprise, CX was

not found to mediate the link with hedonic value. Based on expert discussions with fellow scholars, we came to the conclusion that – when investigating WoM as a dependent variable – we might have affected the latter result. We therefore specifically suggest that utilitarian value requires the necessary items or needs (jobs to be done) to be fulfilled, to allow the CX of this fulfillment to become the focus, thereby mediating the relationship between utilitarian value perceptions and WoM.

Consequently, if a product or the experience of obtaining a product fails to fulfill consumers' utilitarian needs, this part of their experience strongly influences their willingness to engage in (negative) WoM behavior, *even when* they enjoyed the experience in other respects (e.g. high hedonic value). We, therefore, identify a tiering or hierarchy of consumer needs that impact on the nature of their experience, with utilitarian needs (if present) trumping hedonic or social needs, particularly to meet core services (e.g. retail banking) required by or the core needs of the consumers.

Social value arises when, for example, we share our CX with others, *by definition* offering a strong link to WoM behavior. In addition, consumers tend to focus on hedonic value perceptions more inwardly. Within themselves, their willingness to share their brand-related experiences with others and to engage in WoM behavior (Groeger *et al.*, 2016) may to a lesser extent be due to the nature of the hedonic value. However, these value types may significantly overlap, for example, when consumers enjoy brand-related social interactions (e.g. dance classes).

Our findings imply that managers of hedonic value brands should not only emphasize this hedonic value in brand-related communications but should also emphasize the outcome of customers' brand-related experiences (e.g. achieving a sense of delight, competence, etc., after using the service) *as opposed to* focusing on the experience as such (i.e. while using the service). This approach is expected to work well in respect of aspirational brands, especially when consumers strive to achieve particular goals and to better themselves in some way (e.g. education or beauty and the use of physical appearance-related products, such as weight loss items and haircare products). As such, the nature of these customer outcomes could become utilitarian in their own way (e.g. having shinier hair after using a specific shampoo), thereby offering not only a hedonic but also a utilitarian benefit.

Fourth, we find that CX does not moderate the CPV–WoM behavior relationship. Fundamentally, researchers need invariant models if they intend to test for moderation. However, our methodological process did not support the high and low CX groups' use of invariant models, which implies that the final models could not be compared (moderated). This surprising result suggests that high and low CX differ more fundamentally than previously assumed, as customers in the high-CX group do more than merely rate their CX higher than that of the customers in the low group. From a methodological perspective, the results suggest that the CX scale should include these two groups' distinct experiences.

5. Future research directions and limitations

Despite the insights revealed by our findings, we encourage researchers to conduct more research on this topic and research area to validate our findings and refine our results. Researchers could, for example, use different behavioral outcomes (rather than WoM) and switch behavior to explore the effects of CX on firm-based performance measures, such as share-of-category or share-of-wallet. We also advise scholars to explore these and related dynamics in different research settings, such as online/offline, tangible goods/services and different industry contexts. Researchers should also examine Silvestro *et al.*'s (1992) service types or other service typologies to establish their individual differences across service contexts.

As we focus on CX's generic role in services, this paper does not analyze the different CX dimensions. Further research should therefore examine low and high CX groups in different contexts and identify their underlying evaluation dimensions. For example, it is essential to know – if indeed the case – in what context and why a specific dimension or a combination of the three EXQ dimensions drives consumer behavior more than any other dimension or combination of dimensions. Additionally, we encourage researchers to expand our research by exploring other settings than the setting we investigated. For example, it would be advantageous to investigate whether and, if the case, how a more hedonic setting, such as tourism or a luxury setting, confirms our findings. The same applies if researchers were to explore online settings and/or extend their research scope to omnichannel experiences. We also encourage researchers to investigate if a brand's nature and orientation in terms of value (social, hedonic and utilitarian or any combination thereof) determine CX perception and what exactly drives their consumer behavior.

Note

1 We nevertheless determined this all-inclusive model and found that only hedonic value and utilitarian value were non-discriminant. While hedonic value showed an average variance extracted (AVE) of 0.836, determining the utilitarian value resulted in an AVE of 0.844. The two constructs correlated with r = 0.95, and therefore, violated the Fornell and Larcker (1981) criterion.

References

Anderson, E.W. (1998), "Customer satisfaction and word of mouth", *Journal of Service Research*, Vol. 1 No. 1, pp. 5-17.

Anderson, R.E. and Srinivasan, S.S. (2003), "E-satisfaction and e-loyalty: a contingency framework", *Psychology and Marketing*, Vol. 20 No. 2, pp. 123-138.

Andrews, L., Drennan, J. and Russell-Bennett, R. (2012), "Linking perceived value of mobile marketing with the experiential consumption of mobile phones", *European Journal of Marketing*, Vol. 46 Nos 3/4, pp. 357-386.

Babić Rosario, A., Sotgiu, F., De Valck, K. and Bijmolt, T.H.A. (2016), "The effect of electronic word of mouth on sales: a meta-analytic review of platform, product, and metric factors", *Journal of Marketing Research*, Vol. 53 No. 3, pp. 297-318.

Babin, B.J., Darden, W.R. and Griffin, M. (1994), "Work and/or fun: measuring hedonic and utilitarian shopping value", *Journal of Consumer Research*, Vol. 20 No. 4, pp. 644-656.

Berlyne, D.E. (1970), "Novelty, complexity, and hedonic value", *Perception & Psychophysics*, Vol. 8 No. 5, pp. 279-286.

Berry, L.L., Carbone, L.P. and Haeckel, S.H. (2002), "Managing the total customer experience", *MIT Sloan Management Review*, Vol. 43 No. 3, pp. 85-89.

Brakus, J.J., Schmitt, B.H. and Zarantonello, L. (2009), "Brand experience: what is it? How is it measured? Does it affect loyalty?", *Journal of Marketing*, Vol. 73 No. 3, pp. 52-68.

Brown, T.J., Barry, T.E., Dacin, P.A. and Gunst, R.F. (2005), "Spreading the word: investigating antecedents of consumers' positive word-of-mouth intentions and behaviors in a retailing context", *Journal of the Academy of Marketing Science*, Vol. 33 No. 2, pp. 123-138.

Bruwer, J. and Rueger-Muck, E. (2019), "Wine tourism and hedonic experience: a motivation-based experiential view", *Tourism and Hospitality Research*, Vol. 19 No. 4, pp. 488-502.

Candi, M., Beltagui, A. and Riedel, J.C.K.H. (2013), "Innovation through experience staging: motives and outcomes", *Journal of Product Innovation Management*, Vol. 30 No. 2, pp. 279-297.

Chang, H.C. and Chiu, P.Y. (2016), "Innovative marketing in professional baseball teams", *The Service Industries Journal*, Vol. 36 Nos 11/12, pp. 576-594.

Chang, H. and Wang, H.W. (2011), "The moderating effect of customer perceived value on online shopping behaviour", *Online Information Review*, Vol. 35 No. 3, pp. 333-359.

Chen, S.C. and Lin, C.P. (2015), "The impact of customer experience and perceived value on sustainable social relationship in blogs: an empirical study", *Technological Forecasting and Social Change*, Vol. 96 No. 7, pp. 40-50.

Cetin, G. and Dincer, F.I. (2014), "Influence of customer experience on loyalty and word-of-mouth in hospitality operations", *Anatolia*, Vol. 25 No. 2, pp. 181-194.

Cheung, C.M.K. and Thadani, D.R. (2012), "The impact of electronic word-of-mouth communication: a literature analysis and integrative model", *Decision Support Systems*, Vol. 54 No. 1, pp. 461-470.

Chitturi, R., Raghunathan, R. and Mahajan, V. (2008), "Delight by design: the role of hedonic versus utilitarian benefits", *Journal of Marketing*, Vol. 72 No. 3, pp. 48-63.

Chiu, C.M., Wang, E.T.G., Fang, Y.H. and Huang, H.Y. (2014), "Understanding customers' repeat purchase intentions in B2C e-commerce: the roles of utilitarian value, hedonic value and perceived risk", *Information Systems Journal*, Vol. 24 No. 1, pp. 85-114.

Dagger, T., Ng, S. and Russell-Bennett, R. (2007), "A typology of mass services: the role of service delivery and consumption purpose in classifying service experiences", *Journal of Services Marketing*, Vol. 21 No. 7, pp. 471-480.

De Keyser, A., Lemon, K.N., Klaus, P. and Keiningham, T.L. (2015), "A framework for understanding and managing the customer experience", *Marketing Science Institute Working Paper Series*, pp. 15-121.

De Keyser, A., Verleye, K., Lemon, K.N., Keiningham, T.L. and Klaus, P. (2020), "Moving the customer experience field forward: introducing the touchpoints, context, qualities (TCQ) nomenclature", *Journal of Service Research*, Vol. 23 No. 4, pp. 433-455.

Deshwal, P. (2016), "Customer experience quality and demographic variables (age, gender, education level, and family income) in retail stores", *International Journal of Retail & Distribution Management*, Vol. 44 No. 9, pp. 940-955.

Ding, C.G. and Tseng, T.H. (2015), "On the relationships among brand experience, hedonic emotions, and brand equity", *European Journal of Marketing*, Vol. 49 Nos 7/8, pp. 994-1015.

Dube, A. and Helkkula, A. (2015), "Service experiences beyond the direct use: indirect customer use experiences of smartphone apps", *Journal of Service Management*, Vol. 26 No. 2, pp. 224-248.

El-Adly, M.I. and Eid, R. (2016), "An empirical study of the relationship between shopping environment, customer perceived value, satisfaction, and loyalty in the UAE malls context", *Journal of Retailing and Consumer Services*, Vol. 31 No. 7, pp. 217-227.

Figueiredo, B. and Scaraboto, D. (2016), "The systemic creation of value through circulation in collaborative consumer networks", *Journal of Consumer Research*, Vol. 43 No. 4, pp. 509-533.

Floh, A., Koller, M., Zauner, A. and Teller, C. (2017), "Multiple value dimensions spill-over – an experimental approach in a consumption system comprising a product and a service", *Journal of Consumer Behaviour*, Vol. 16 No. 4, pp. 352-362.

Floh, A., Zauner, A., Koller, M. and Rusch, T. (2014), "Customer segmentation using unobserved heterogeneity in the perceived-value–loyalty–intentions link", *Journal of Business Research*, Vol. 67 No. 5, pp. 974-982.

Fornell, C. and Larcker, D.F. (1981), "Evaluating structural equation models with unobservable variables and measurement error", *Journal of Marketing Research*, Vol. 18 No. 1, pp. 39-50.

Gallarza, M.G., Arteaga, F., Del Chiappa, G., Gil-Saura, I. and Holbrook, M.B. (2017), "A multidimensional service-value scale based on Holbrook's typology of customer value: bridging the gap between the concept and its measurement", *Journal of Service Management*, Vol. 28 No. 4, pp. 724-762.

Gentile, C., Spiller, N. and Noci, G. (2007), "How to sustain the customer experience: an overview of experience components that co-create value with the customer", *European Management Journal*, Vol. 25 No. 5, pp. 395-410.

Glorfeld, L.W. (1995), "An improvement on horn's parallel analysis methodology for selecting the correct number of factors to retain", *Educational and Psychological Measurement*, Vol. 55 No. 3, pp. 377-393.

Groeger, L., Moroko, L. and Hollebeek, L.D. (2016), "Capturing value from non-paying consumers' engagement behaviours: field evidence and development of a theoretical model", *Journal of Strategic Marketing*, Vol. 24 Nos 3/4, pp. 190-209.

Grönroos, C. and Voima, P. (2013), "Critical service logic: making sense of value creation and co-creation", *Journal of the Academy of Marketing Science*, Vol. 41 No. 2, pp. 133-150.

Gruen, T.W., Osmonbekov, T. and Czaplewski, A.J. (2006), "eWOM: the impact of customer-to-customer online know-how exchange on customer value and loyalty", *Journal of Business research*, Vol. 59 No. 4, pp. 449-456.

Hair, J.F., Anderson, R.E., Tatham, R.L., Black, W.C. and Babin, B.J. (2010), *Multivariate Data Analysis*, Prentice-Hall, Englewood Cliffs, NJ.

Helkkula, A. (2011), "Characterising the concept of service experience", *Journal of Service Management*, Vol. 22 No. 3, pp. 367-389.

Helkkula, A. and Kelleher, C. (2010), "Circularity of customer service experience and customer perceived value", *Journal of Customer Behaviour*, Vol. 9 No. 1, pp. 37-53.

Holbrook, M.B. (1994), "The nature of customer value: an axiology of services in the consumption experience", in Rust, R.T. and Oliver, R.L. (Eds), *Service Quality: New Directions in Theory and Practice*, Sage, Thousand Oakes, CA.

Holbrook, M.B. (2006), "Reply to Bradshaw, McDonagh, and Marshall: turn off the bubble machine", *Journal of Macromarketing*, Vol. 26 No. 1, pp. 84-87.

Holbrook, M.B. and Hirschman, E.C. (1982), "The experiential aspects of consumption: consumer fantasies, feelings, and fun", *Journal of Consumer Research*, Vol. 9 No. 2, pp. 132-140.

Hollebeek, L.D. (2013), "The customer engagement/value interface: an exploratory investigation", *Australasian Marketing Journal (Journal)*, Vol. 21 No. 1, pp. 17-24.

Hollebeek, L.D., Glynn, M.S. and Brodie, R.J. (2014), "Consumer Brand engagement in social media: conceptualization, scale development and validation", *Journal of Interactive Marketing*, Vol. 28 No. 2, pp. 149-165.

Hollebeek, L.D., Srivastava, R.K. and Chen, T. (2019), "S-D logic–informed customer engagement: integrative framework, revised fundamental propositions, and application to CRM", *Journal of the Academy of Marketing Science*, Vol. 47 No. 1, pp. 161-185.

Horn, J.L. (1965), "A rationale and test for the number of factors in factor analysis", *Psychometrika*, Vol. 32 No. 2, pp. 179-185.

Hsiao, C.H., Chang, J.J. and Tang, K.Y. (2016), "Exploring the influential factors in continuance usage of mobile social apps: satisfaction, habit, and customer value perspectives", *Telematics and Informatics*, Vol. 33 No. 2, pp. 342-355.

Jackson, D.A. (1993), "Stopping rules in principal components analysis: a comparison of heuristical and statistical approaches", *Ecology*, Vol. 74 No. 8, pp. 2204-2214.

Jamshidi, D., Keshavarz, Y., Kazemi, F. and Mohammadian, M. (2017), "Mobile banking behavior and flow experience: an integration of utilitarian features, hedonic features and trust", *International Journal of Social Economics*, Vol. 45 No. 1, pp. 57-81.

Jones, M.A., Reynolds, K.E. and Arnold, M.J. (2006), "Hedonic and utilitarian shopping value: investigating differential effects on retail outcomes", *Journal of Business Research*, Vol. 59 No. 9, pp. 974-981.

Jutbring, H. (2018), "Social marketing through a music festival: value perceived by festival visitors who reduced meat consumption", *Journal of Social Marketing*, Vol. 8 No. 2, pp. 237-256.

Kang, Y.J. and Lee, W.J. (2018), "Effects of sense of control and social presence on customer experience and e-service quality", *Information Development*, Vol. 34 No. 3, pp. 242-260.

Keiningham, T., Aksoy, L., Bruce, H.L., Cadet, F., Clennell, N., Hodgkinson, I.R. and Kearney, T. (2020), "Customer experience driven business model innovation", *Journal of Business Research*, Vol. 116, pp. 431-440.

Kelleher, C., N. Wilson, H., Macdonald, E.K. and Peppard, J. (2019), "The score is not the music: integrating experience and practice perspectives on value co-creation in collective consumption contexts", *Journal of Service Research*, Vol. 22 No. 2, pp. 120-138.

Keng, C., Tran, V.D. and Le Thi, T.M. (2013), "Relationships among brand experience, brand personality, and customer experiential value", *Contemporary Management Research*, Vol. 9 No. 3, pp. 247-262.

Kim, H.W., Chan, H.C. and Gupta, S. (2007), "Value-based adoption of mobile internet: an empirical investigation", *Decision Support Systems*, Vol. 43 No. 1, pp. 111-126.

Klaus, P. (2013), "The case of amazon.com: towards a conceptual framework of online customer service experience (OCSE) using the emerging consensus technique (ECT)", *Journal of Services Marketing*, Vol. 27 No. 6, pp. 443-457.

Klaus, P. (2014), *Measuring Customer Experience: How to Develop and Execute the Most Profitable Customer Experience Strategies*, Springer.

Klaus, P. and Maklan, S. (2013), "Towards a better measure of customer experience", *International Journal of Market Research*, Vol. 55 No. 2, pp. 227-246.

Komulainen, H., Saraniemi, S., Ulkuniemi, P. and Ylilehto, M. (2018), "End-customer value restructuring the financial service supply chain", *Marketing Intelligence & Planning*, Vol. 36 No. 6, pp. 709-720.

Kumar, V. and Reinartz, W. (2016), "Creating enduring customer value", *Journal of Marketing*, Vol. 80 No. 6, pp. 36-68.

Kumar, V., Petersen, J.A. and Leone, R.P. (2007), "How valuable is word of mouth?", *Harvard Business Review*, Vol. 85 No. 10, p. 139.

Kuppelwieser, V.G. and Klaus, P. (2021), "Measuring customer experience quality: the EXQ scale revisited", *Journal of Business Research*, Vol. 126 No. 3, pp. 624-633.

Kuppelwieser, V.G., Putinas, A.C. and Bastounis, M. (2019), "Toward application and testing of measurement scales and an example", *Sociological Methods & Research*, Vol. 48 No. 2, pp. 326-349.

Kuppelwieser, V.G. and Sarstedt, M. (2014), "Applying the future time perspective scale to advertising research", *International Journal of Advertising*, Vol. 33 No. 1, pp. 113-136.

Lemke, F., Clark, M. and Wilson, H. (2011), "Customer experience quality: an exploration in business and consumer contexts using repertory grid technique", *Journal of the Academy of Marketing Science*, Vol. 39 No. 6, pp. 846-869.

Lemon, K.N. and Verhoef, P.C. (2016), "Understanding customer experience throughout the customer journey", *Journal of Marketing*, Vol. 80 No. 6, pp. 69-96.

Leroi-Werelds, S. (2019), "An update on customer value: state of the art, revised typology, and research agenda", *Journal of Service Management*, Vol. 30 No. 5, pp. 650-680.

Lin, C.H. and Kuo, B.Z.L. (2016), "The behavioral consequences of tourist experience", *Tourism Management Perspectives*, Vol. 18 No. 4, pp. 84-91.

Lin, C.H., Sher, P.J. and Shih, H.Y. (2005), "Past progress and future directions in conceptualizing customer perceived value", *International Journal of Service Industry Management*, Vol. 16 No. 4, pp. 318-336.

Lin, L.Z., Yeh, H.R. and Hsu, T.H. (2014), "Multi-dimensions of experiential values in the Taipei international flora exposition", *Tourism Management Perspectives*, Vol. 9 No. 1, pp. 36-50.

Lusch, R.F. and Vargo, S.L. (2014), *Service-Dominant Logic: Premises, Perspectives, Possibilities*, Cambridge University Press, London.

Martin-Ruiz, D., Barroso-Castro, C. and Rosa-Diaz, I.M. (2012), "Creating customer value through service experiences: an empirical study in the hotel industry", *Tourism and Hospitality Management*, Vol. 18 No. 1, pp. 37-53.

Nasution, H.N. and Mavondo, F.T. (2008), "Customer value in the hotel industry: what managers believe they deliver and what customer experience", *International Journal of Hospitality Management*, Vol. 27 No. 2, pp. 204-213.

Patrício, L., Fisk, R.P., Falcão E Cunha, J. and Constantine, L. (2011), "Multilevel service design: from customer value constellation to service experience blueprinting", *Journal of Service Research*, Vol. 14 No. 2, pp. 180-200.

Peres-Neto, P.R., Jackson, D.A. and Somers, K.M. (2005), "How many principal components? Stopping rules for determining the number of non-trivial axes revisited", *Computational Statistics & Data Analysis*, Vol. 49 No. 4, pp. 974-997.

Prebensen, N.K. and Rosengren, S. (2016), "Experience value as a function of hedonic and utilitarian dominant services", *International Journal of Contemporary Hospitality Management*, Vol. 28 No. 1, pp. 113-135.

Prebensen, N.K. and Xie, J. (2017), "Efficacy of co-creation and mastering on perceived value and satisfaction in tourists' consumption", *Tourism Management*, Vol. 60 No. 6, pp. 166-176.

Rintamäki, T., Spence, M.T., Kuusela, H. and Kanto, A. (2006), "Decomposing the value of department store shopping into utilitarian, hedonic and social dimensions: evidence from Finland", *International Journal of Retail & Distribution Management*, Vol. 34 No. 1, pp. 6-24.

Roy, S. (2018), "Effects of customer experience across service types, customer types and time", *Journal of Services Marketing*, Vol. 32 No. 4, pp. 400-413.

Ryu, K., Lee, H.R. and Gon Kim, W. (2012), "The influence of the quality of the physical environment, food, and service on restaurant image, customer perceived value, customer satisfaction, and behavioral intentions", *International Journal of Contemporary Hospitality Management*, Vol. 24 No. 2, pp. 200-223.

Seraj, M. (2012), "We create, We connect, We respect, therefore we are: intellectual, social, and cultural value in online communities", *Journal of Interactive Marketing*, Vol. 26 No. 4, pp. 209-222.

Shamim, A., Ghazali, Z. and Albinsson, P.A. (2016), "An integrated model of corporate brand experience and customer value co-creation behaviour", *International Journal of Retail & Distribution Management*, Vol. 44 No. 2, pp. 139-158.

Sheth, J.N. (1981), "An integrative theory of patronage preference and behavior", *College of Commerce and Business Administration*, Bureau of Economic and Business Research, University of IL, Urbana-Champaign.

Silvestro, R., Fitzgerald, L., Johnston, R. and Voss, C. (1992), "Towards a classification of service processes", *International Journal of Service Industry Management*, Vol. 3 No. 3, pp. 62-75.

Soutar, G.N. and Sweeney, J.C. (2003), "Are there cognitive dissonance segments?", *Australian Journal of Management*, Vol. 28 No. 3, pp. 227-249.

Srivastava, M. and Kaul, D. (2014), "Social interaction, convenience and customer satisfaction: the mediating effect of customer experience", *Journal of Retailing and Consumer Services*, Vol. 21 No. 6, pp. 1028-1037.

Srivastava, M. and Kaul, D. (2016), "Exploring the link between customer experience–loyalty–consumer spend", *Journal of Retailing and Consumer Services*, Vol. 31 No. 7, pp. 277-286.

Sweeney, J.C., Mazzarol, T. and Soutar, G.N. (2012), "Word of mouth: measuring the power of individual messages", *European Journal of Marketing*, Vol. 46 Nos 1/2, pp. 237-257.

Sweeney, J.C. and Soutar, G.N. (2001), "Consumer perceived value: the development of a multiple item scale", *Journal of Retailing*, Vol. 77 No. 2, pp. 203-220.

Tynan, C., Mckechnie, S. and Hartley, S. (2014), "Interpreting value in the customer service experience using customer-dominant logic", *Journal of Marketing Management*, Vol. 30 Nos 9/10, pp. 1058-1081.

Ulaga, W. and Eggert, A. (2006), "Value-based differentiation in business relationships: gaining and sustaining key supplier status", *Journal of Marketing*, Vol. 70 No. 1, pp. 119-136.

Vargo, S.L. and Lusch, R.F. (2008), "Service-dominant logic: continuing the evolution", *Journal of the Academy of Marketing Science*, Vol. 36 No. 1, pp. 1-10.

Vargo, S.L. and Lusch, R.F. (2017), "Service-dominant logic 2025", *International Journal of Research in Marketing*, Vol. 34 No. 1, pp. 46-67.

Varshneya, G. and Das, G. (2017), "Experiential value: multi-item scale development and validation", *Journal of Retailing and Consumer Services*, Vol. 34, pp. 48-57.

Velicer, W.F. (1976), "Determining the number of components from the matrix of partial correlations", *Psychometrika*, Vol. 41 No. 3, pp. 321-327.

Vigneron, F. and Johnson, L.W. (1999), "A review and a conceptual framework of prestige-seeking consumer behavior", *Academy of Marketing Science Review*, Vol. 1 No. 1, pp. 1-15.

Viswanathan, V., Hollebeek, L.D., Malthouse, E.C., Maslowska, E., Jung Kim, S. and Xie, W. (2017), "The dynamics of consumer engagement with mobile technologies", *Service Science*, Vol. 9 No. 1, pp. 36-49.

Walls, A.R. (2013), "A cross-sectional examination of hotel consumer experience and relative effects on consumer values", *International Journal of Hospitality Management*, Vol. 32 No. 3, pp. 179-192.

Wan, X., Wang, T., Zhang, W. and Cao, J. (2017), "Perceived value of online customization experience in China: concept, measurement, and consequences", *The Journal of High Technology Management Research*, Vol. 28 No. 1, pp. 17-28.

Westbrook, R.A. and Black, W.C. (1985), "A motivation-based shopper typology", *Journal of Retailing*, Vol. 61 No. 1, pp. 78-103.

Ye, Q., Law, R., Gu, B. and Chen, W. (2011), "The influence of user-generated content on traveler behavior: an empirical investigation on the effects of e-word-of-mouth to hotel online bookings", *Computers in Human Behavior*, Vol. 27 No. 2, pp. 634-639.

Zeithaml, V.A. (1988), "Consumer perceptions of price, quality, and value: a means-end model and synthesis of evidence", *Journal of Marketing*, Vol. 52 No. 3, pp. 2-22.

Zeithaml, V.A., Verleye, K., Hatak, I., Koller, M. and Zauner, A. (2020), "Three decades of customer value research: paradigmatic roots and future research avenues", *Journal of Service Research*, Vol. 23 No. 4, pp. 409-432.

Zhang, H., Lu, Y., Gupta, S. and Zhao, L. (2014), "What motivates customers to participate in social commerce? The impact of technological environments and virtual customer experiences", *Information & Management*, Vol. 51 No. 8, pp. 1017-1030.

Further reading

Klaus, P. and Maklan, S. (2012), "EXQ: a multiple-item scale for assessing service experience", *Journal of Service Management*, Vol. 23 No. 1, pp. 5-33.

Appendix

Table A1 Measurement items and loadings of WoM behavior and social, hedonic and utilitarian value

Item	Study 1[a]	Study 2[b] Hedonic model	Utilitarian model	Social model
WoM behavior				
Mentioned to others that you do business with the company	0.816	0.811	0.813	0.812
Made sure that others know that you do business with the company	0.837	0.815	0.820	0.821
Spoke positively about the company employee(s) to others	0.840	0.821	0.824	0.823
Recommended the company to family members	0.871	0.876	0.875	0.874
Spoke positively of the company to others	0.904	0.912	0.909	0.905
Recommended the company to acquaintances	0.934	0.928	0.931	0.933
Recommended the company to close personal friends	0.913	0.950	0.951	0.949
Hedonic value				
Compared to other (service providers), the time spent at the company is enjoyable	0.901	0.855	–	–
I chose the company not because I had to, but because I wanted to	0.615	0.665	–	–
I feel that I made a smart decision by choosing the company	0.907	0.867	–	–
I am happy with the company as my category	0.908	0.810	–	–
I feel relaxed when dealing with the company	0.925	0.904	–	–
The personnel at the company give me positive feelings	0.896	0.849	–	–
In general, I feel at ease with the company	0.938	0.895	–	–
At the company I feel really appreciated	0.903	0.843	–	–
Utilitarian value				
The company provides the service I am looking for	0.932	–	0.875	–
I feel the company is convenient	0.830	–	0.758	–
I feel the company is efficient	0.922	–	0.876	–
I accomplish my goal(s) with the company	0.888	–	0.822	–
The company provides the value I am looking for	0.888	–	0.856	–
I accomplish my goals by engaging in the process with the company	0.907	–	0.816	–
I feel I really can count on the company when it matters most	0.933	–	0.909	–
Social value				
The company is considered very well on a social level	0.863	–	–	0.839
The fact that I am a customer of the company looks good to the people I know	0.959	–	–	0.932
Being a customer of the company makes me feel acceptable	0.948	–	–	0.929
Being a customer of the company improves the way I am perceived	0.963	–	–	0.953
Being a customer at the company makes a good impression on other people	0.940	–	–	0.942
Being a customer at the company gains me social approval	0.960	–	–	0.945

Notes: [a]$n = 150$; [b]$n = 322$

Corresponding author

Volker G. Kuppelwieser can be contacted at: volker.kuppelwieser@neoma-bs.fr.

For instructions on how to order reprints of this article, please visit our website:
www.emeraldgrouppublishing.com/licensing/reprints.htm
Or contact us for further details: **permissions@emeraldinsight.com**